

FLEX SUPREME

PRIMARY				
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/ Term	Max LTV/CLTV Cash-Out Refinance	Property Type ¹
740	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
	2,500,000	80	65	
	3,000,000	75	N/A	
700	2,000,000	80	75	
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	
SECOND HOME				
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/ Term	Max LTV/CLTV Cash-Out Refinance	Property Type ¹
700	2,000,000	80	75	SFR, PUD, Warrantable Condo
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	
INVESTMENT PROPERTY				
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/ Term	Max LTV/CLTV Cash-Out Refinance	Property ¹
700	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	
Housing & Credit Event Seasoning Requirements				
Credit Event Minimum Requirements BK/FC/SS/DIL/Mod	Borrowers with significant derogatory credit events must meet the following criteria: • Max DTI 43% • All borrowers must have reestablished acceptable credit verified after the credit event. • Borrowers with unrelated multiple significant credit events are ineligible. • Minimum 4 years must have elapsed from the date of the credit event. • FTHB - requires >= 7 years seasoning from the completion date of a significant derogatory credit event.			
Geographic Restrictions				
• HI: Delegated Correspondent Channel only • IL: Ineligible only for TRID Loans located in Cook, Kane, Peoria and Will Counties, IL. ◦ Restriction does not apply to Correspondents. • MD: Baltimore City Row Homes are ineligible. • TX: Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible.				
General Requirements				
Product Type	• 30-Yr Fixed Fully Amortizing • 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing). • 5/6 & 7/6 SOFR ARMs - Fully Amortizing only, qualify at higher of fully indexed			
Interest Only	• Min 700 FICO and Max 75% LTV. FTHB ineligible.			
Loan Amounts	• Min \$100,000 and Max \$3,000,000			
Max DTI	• 50%. When DTI is > 43%>= 740 FICO is required.			
Occupancy	• Primary and Second Homes, Investment Properties.			
Loan Purpose	• Purchase, Rate/Term, and Cash Out			
2-1 Buydown	• Not permitted.			
Cash Out	• Minimum of 6 (six) months seasoning from most recent transaction • <=70 LTV: Unlimited and >70 LTV: \$500,000			

	• Refinance of an existing Texas 50(a)(6), Texas Section 50(a)(4) and Texas Section 50(a)(3) are ineligible. • Not permitted in Declining Markets	
Rate and Term	• Max cash back is the lesser of \$5,000 or 2% of the loan amount.	
Borrower Eligibility	• US Citizens • Permanent Resident Aliens • Non-Permanent Resident (H1B & L1 Visas only) Max 75% LTV • Non-Occupant Co-Borrowers for OO only, Max 43% DTI, Cash out not permitted. • First Time Home Buyers (FTHB) – Restrictions apply	Ineligible: • ITINs • DACA • Foreign Nationals
Property Type ¹	Single Family/PUD (Attached/Detached)	• SFR with 1 or more ADUs; or see 2-4 Units below.
	2-4 Units	• Max 75% LTV • Not eligible for FTHBs • 2-4 units with 1 ADU allowed if permitted by the local municipality. The appraiser must specifically confirm compliance with local regulations.
	Condos ¹	• Warrantable Condominiums¹: Max 75% LTV • Non-Warrantable Condos and Condotels are not permitted.
	Acres	• Max 10 acres
	Leasehold	• Leasehold not permitted
Rural Properties	• Rural Properties Primary Residence only • Max 70% LTV • Cash-Out not permitted • See Guidelines	
Appraisals	• FNMA Form 1004, 1025, 1073 with interior/exterior inspection. • 2nd Appraisal required for loans > \$2,000,000. • Appraisal Review Product required on all loans with an SSR over 2.5 except for those with a full second appraisal.	
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV. • Cash Out not permitted in Declining Markets.	
Full Doc - Income Requirements		
Wage Earners	• Paystubs, W-2, tax transcripts or IRS Form 4506-C • Verbal VOE required within 30 days of Note Date	
Self-Employment	• 1- or 2-Years of Personal and Business Tax Returns, YTD P&L, IRS Form 4506-C, 2 months of most recent bank statements • Verbal VOE requires within 30 days of the Note Date	
Alt Doc - Income Requirements		
Stability and Continuance Self-Employment	• Sellers must verify the borrower's self-employment for the most recent consecutive 2 full years in the same business.	
Personal Bank Statements	• 24 or 12-months of Personal and 2-months of business bank statements • Qualifying income is determined by the total eligible deposits from the 24 or 12-months of personal statements divided by the number of statements. • Business bank statements must reflect business activity and transfers to the personal account. • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history	
Business/Co-Mingled Bank Statements:	• 24 or 12-months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ○ Fixed Expense Ratio (50%); OR ○ Expense ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR ○ 3rd party prepared Profit & Loss Statement (CPA or EA). • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history.	

Asset Utilization (Standalone only)	• May not be used as supplemental income. • Not permitted for Investment Properties. • Assets must be seasoned for three (3) months to be deemed eligible. • Monthly Income Calculation = ◦ Net Qualified Assets / 84 Months. • <u>Restrictions:</u> ◦ Cash-out transactions are ineligible. ◦ Max LTV must be reduced by 10%. • <u>Ineligible Assets:</u> ◦ Business assets. ◦ Unseasoned Foreign Assets. ◦ Proceeds from sale of real estate which is not seasoned for a minimum of three (3) months. ◦ Privately traded or restricted / non-vested stocks. • Assets which produce income already included in the income calculation.
IRS Form 1099	• Borrowers receiving 1099 income are eligible provided that they are individuals paid via 1099 but are not business owners of the entity issuing the 1099; and meet the required 2 most recent consecutive full years of employment with the same employer(s). • 2-Years' 1099 • Fixed Expense Ratio of 10%. • YTD documentation to support continued receipt of income from each employer or NQMF VOE when 1099 is > 90 days from the Note date. • Not permitted for Investment Properties.
Underwriting Requirements	
Housing/Rental History	• 0x30x12 • FTHB 0x30x24
DTI Requirements	• Max 50% - When DTI is > 43% min 740 FICO required.
Credit Score	The qualifying score will be based on the highest income earner's score; qualify as follows: • The highest middle score of 3 scores will be used to qualify. • A minimum of 2 scores is required. • Borrowers with 2 credit scores: use the lower of the two scores to qualify.
Tradelines	• Tradeline requirements are not waived when the Primary has 3 credit scores. • Each borrower must have a minimum of 3 traditional tradelines rated for at least 12 months, OR 2 trades reporting for 24+ months, OR 24-month mortgage history reporting on credit. • Trades must reflect an acceptable payment history to be considered – no exceptions. • Closed accounts may be used to satisfy the minimum tradeline requirements if payment history is acceptable (provided it was closed in the last 12 months). • Deferred accounts (w/o payment history) cannot be used to meet the min requirement. • Borrowers who do not meet the requirements above are ineligible.
First Time Home Buyers	• 1-Unit Primary Residence only • 0x30x24 rental history • Max DTI <= 43% • Interest Only not permitted. • At least 1 borrower must have a 24-month rental history. • Min 7-years seasoning for credit events. • When at least one borrower has owned a residential property in the prior 3 years, the FTHB requirements do not apply.
Reserves	• <= \$500,000 = 3 months PITIA • > \$500,000 to \$1,500,000 = 6 months PITIA • > \$1,500,000 to \$2,500,000 = 9 months PITIA • > \$2,500,000 to \$3,000,000 = 12 months PITIA • Cash-out proceeds may be used to satisfy reserves.
Gift Funds	• Permitted on 1-unit properties only, provided borrower meets the minimum contribution. ◦ 5% primary

	○ 10% second home and investment properties • Gift Funds may be used for down payment and closing cost, up to 100%, for OO and SH to 75% LTV. • Gift funds may only be used for down payment and closing costs for NOO after meeting the 10% minimum contribution regardless of LTV. • Gift funds are not permitted to be used towards reserves.
Assets	• 30-day asset verification required • Deposits > 50% of gross income must be documented for purchases.
Residual Income	• Defined as Gross Monthly Income – Total Monthly Obligations. • Requirement based on # in household. • Applies to HPML loans or when the DTI > 43%: • 1 person = \$1,500 • 2 persons = \$2,500 • Add \$150 per additional household member.
Age of Documentation	• Credit - 120 days. • Income and Assets - 90 days
Prepayment Penalty	• Required where permitted for investment properties. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal. • Not permitted on primary residence or second homes.
Interested Party Contributions	Primary Residence and Second Homes: • <= 75% LTV = 9% • > 75% = 6% Investment Properties: • All Max 6%